Practice Case

Beautify

Client goal

exploring new ways to approach its customers.

Situation description

Beautify is a global prestige cosmetics company that sells its products mainly inside high-end department stores such as Harrods and Shanghai No. 1. It also has a presence online with specialty retailers like Sephora. Beautify produces a number of makeup, fragrance, and skin care products sold under several different brands.

In department stores, beauty consultants play a critical role with consumers:

- approaching “passive” customers
- demonstrating their knowledge of the products
- actively selling the products
- maintaining a loyal customer base of repeat buyers

These consultants are hired directly by Beautify or through specialist, third-party agencies that find new recruits for a fee. Beautify is then responsible for selecting, training, and paying the consultants. Within Beautify, beauty consultants are managed independently by each brand in each country. For example, this may mean a consultant might be part of the Chanel team in a store. However, consumers are shifting more to online shopping, and too many beauty consultants are left working in empty department stores.

McKinsey study

the majority of beauty consultants to use virtual channels to connect with customers could be profitable for the company.

Helpful hints

- Write down important information.
- Feel free to ask the interviewer to explain anything that is not clear to you.

Question 1:

Beautify is excited to support its current staff of beauty consultants on the journey to becoming virtual social media-beauty advisors. Consultants would still lead the way in terms of direct consumer engagement and would be expected to maintain and grow a group of clients. They would sell products through their own pages on beautify.com, make appearances at major retail outlets, and be active on all social media platforms.

What possible factors should Beautify consider when shifting this group of employees toward a new set of responsibilities?

Reveal Answer

include:

Retailer response. How will retailers respond to consumers buying directly from beautify.com? What kinds of financial arrangements will Beautify have to work out with its retail partners?

Competitor response. Do other beauty companies offer virtual assistants? If yes, how successful are they? If no, do they have plans to digitize the personal selling experience?

Current capabilities. What is the current skill set of beauty consultants regarding social media? How many already have an online presence, for example, those with more professional accounts on social media platforms or a personal beauty or skincare blog? Would it be possible to hire new advisors with these marketing skills?

Brand image. What are the implications for Beautify's brand if hundreds of advisors suddenly start posting about its products? How could this be leveraged to make Beautify seem more attractive as an employer in the market?

Question 2:

One of the key areas that Beautify wants to understand is the reaction of current and potential new customers to the virtual social media-beauty advisors.

switching to a mostly virtual sales experience?

Reveal Answer

Some of the features you might discuss with your interviewer could include:

Getting real-time feedback on new looks. Beautify could develop a “selfie mirror” mobile app, which would let you upload a selfie and get tailored recommendations from your advisor. They could also potentially use that image to show you new ideas, colors, or product lines, and make suggestions such as, “That lipstick is too matte, but here’s what a glossier formulation would look like.”

Joining an online social community. Advisors could start closed groups, or a blog, where they encourage and respond to comments. This is a great way to connect with other people who have similar interests and learn what makeup and skincare products work well for them.

Learning about latest trends from someone you trust. If an advisor is active on social media, like Instagram, TikTok, or Douyin, they probably post several times a day. Some of it will be personal, to build rapport, but much of it will be related to beauty and skincare. An advisor might offer tutorials, give product reviews, discuss common beauty myths, or more.

Responding privately to a particular concern. If you’re having skin

FIND YOUR IDEAL JOB

appropriate adjustments.

Question 3:

The discussion about virtual advisors has been energizing, but you'd like to ground the discussion in some analysis. You've always found it helpful to frame an investment in terms of how long it will take to turn profitable, such as when incremental revenues are greater than the cost of the project.

You sit down with your teammates from Beautify finance and come up with the following assumptions.

- With advisors, you expect ten percent overall increase in incremental revenue—the team assumes that Beautify will gain new customers who enjoy the experience as well as increased online sales through those engaged, but it will also lose some to other brands that still provide more in-store service. The team assumes this will happen in the first year.
- In that first year, Beautify will invest €50 million in IT, €25 million in training, €50 million in remodeling department store counters, and €25 million in inventory.
- Beautify expects a 5% annual depreciation (loss in value) of their upfront investment in IT each year

How many years would it take until the investment turns profitable?

Helpful hints

- Don’t feel rushed into performing calculations. Take your time.
- Remember that calculators are not allowed - you may want to write out your calculations on paper during the interview.
- Talk your interviewer through your steps so that you can demonstrate an organized approach; the more you talk, the easier it will be for your interviewer to help you.

Reveal Answer

One possible approach to discuss with your interviewer could be:

- Incremental revenues = €130 million: €130 million is ten percent of €1.3 billion
- Resulting profits = €120 million: €130 million minus €10 million annual all-in additional costs for new beauty advisors
- Expected upfront investment = €150 million: 50 + 25 + 50 + 25
- Annual depreciation expense = €2.5 million: IT investment of €50

depreciation expense of €2.5 million

- The investment will turn profitable after 1.28 years, or (rounded) 1 year and 3 months: total investment of €150 divided by adjusted annual profits of €117.5 million

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Question 4:

Beautify is now considering how AI could help enhance customer experience (as an alternative or in addition to the Beauty Consultants). The team generated the following data on how some top competitors are using AI. The competitors' AI chatbots are called Clarice, Lena, Jaki and Lola, and the data shows how various metrics have changed since they were introduced. What does this information tell us about the potential benefits of using AI chatbots, and what would you recommend Beautify does next?

Metrics on Beautify's top four competitors' AI chatbots

	Clarice	Lena	Jaki	Lola
	Uses customer data to provide personalized product recommendations	Provides a virtual try-on experience with uploaded photos	Offers live consultations and customer care services	Offers beauty classrooms using content from top beauty influencers
Conversion Rates:				
Aware of Co. → Website Visit	+25%	+20%	+15%	+18%
Website Visit → Purchase	+20%	+30%	+25%	+22%
Customer Satisfaction rates:				
Product Fit	85% → 92%	85% → 95%	85% → 90%	85% → 88%
Overall Experience	80% → 90%	80% → 93%	80% → 91%	80% → 89%

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- Take some time to look at the information and note any observations you have.
- Challenge yourself to identify trends that are not immediately obvious from the data.

Reveal Answer

All bots drive increased website visits. Clarice and Lena seem to drive highest increase in conversion rate from awareness of Beautify – perhaps because personalized product recommendations and virtual try-ons are the most effective at capturing customer interest and curiosity.

Tailored suggestions (Clarice), virtual try-ons (Lena), real-time support (Jaki), and educational content (Lola) all contribute to higher conversion rates from website visits to purchases. Lena excels here, perhaps because virtual try-ons build the greatest confidence in 'product fit' (Lena also shows the greatest increase in 'Satisfaction with product fit').

All bots improve the overall shopping experience; this may be by offering seamless, interactive, and engaging experiences. Lena and Jaki stand out – perhaps for their human-like and interactive features.

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Accurate product recommendations (Clarice), visual validation of product fit (Lena), and clear expectations set through live consultations (Jaki) significantly lower return rates, saving costs for companies.

Bots like Jaki and Lola may be the most likely to build trust and credibility through real-time consultations and educational content – which could help position Beautify as a reliable and knowledgeable partner in beauty.

Overall, Lena seems to have the greatest positive impact, so Beautify might want to prioritize exploring how to develop a agent like Lena first.
